

If I get my daughter married today. I would spend approximately ₹6 Lacs. How much I would need to spend if my daughter was to be married after 10 years? Assume the annual inflation for this industry as 8%.

Solution 5: Calculating the future value of money

As per the Formula 6, the future value of money can simply be calculated as :

$$\begin{aligned}\text{Future Value} &= \text{Present Value} * (1 + r)^n \\ \text{Future Value} &= 6,00,000 * (1+0.08)^{10} \\ &= 6,00,000 * 2.159 = ₹12,95,000/-\end{aligned}$$

So, the expense which is costing me ₹6 Lacs today will cost me close to ₹13 Lacs after 10 years.

You can use just the reverse of this formula to calculate the present value of money from an expense incurred in the past.

Both the Present and Future value of money calculations help us accommodate our financial freedom plan (to be discussed later) with the right level of expenses.

You see, there was no rocket science here. Finance is actually simple. We don't need anything much more than this rudimentary financial knowledge to script a beautiful life.

Let us move on. It is important to understand a few more investment concepts before getting into the details of investment tools.

Let us get going with the concept of Rupee Cost Averaging.